

**FEDERAL MARITIME COMMISSION**  
**Office of the Administrative Law Judges**

FUTURE FORWARDING COMPANY, *Claimant*

v.

YANG MING (AMERICA) CORPORATION, *Respondent*.

**DOCKET NO. 1975(I)**

Served: April 18, 2022

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**BEFORE:** Theresa DIKE, *Small Claims Officer*.

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**ORDER APPROVING CONFIDENTIAL SETTLEMENT AND DISMISSING PROCEEDING**

On March 1, 2022, the Secretary of the Federal Maritime Commission (“FMC” or “Commission”) issued a Notice of Filing of Small Claims Complaint and Assignment noting that Complainant Future Forwarding Company (“Future”) had filed a complaint against Respondent Yang Ming (America) Corporation (“Yang Ming”). Claimant alleged in its complaint that Yang Ming had refused to move Claimant’s cargo to the agreed upon destination, in violation of 46 U.S.C. § 41102(c) of the Shipping Act.

The Secretary instructed Respondent to file a response to the Claim by March 28, 2022, and to indicate whether it consents to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission’s Rules of Practice and Procedure (46 C.F.R. § 502.301-305). The Secretary also assigned the proceeding to the Chief Administrative Law Judge to designate a Small Claims Officer to adjudicate the proceeding.

On March 28, 2022, Yang Ming informed the Secretary that the parties had agreed to settle their dispute and thus, that it would not be filing an answer to the complaint and that Claimant would be submitting a request for voluntary dismissal of its claim. On April 1, 2022, a Motion for Voluntary Dismissal by Claimant (“Motion”), together with a confidential settlement agreement was received from Claimant. Respondent has not yet filed a response to the Claim and did not object to the adjudication of this Claim under the informal procedures. Accordingly, on April 18, 2022, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication under the Commission’s informal procedures.

Complainant seeks to withdraw its claim against Respondent based on a settlement agreement between the parties resolving their dispute. Pursuant to the Commission’s Rule 72(a)(3):

[A]n action may be dismissed at the complainant’s request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted

with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's regulations allow settlements by litigating parties, however the Commission requires that settlement agreements be submitted "for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." *Maher Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In reviewing settlement agreements, the Commission is guided by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *Maher Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). However, if a "proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defect which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Id.* at 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement. [sic]" *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988).

The parties resolved their dispute prior to the expiration of the deadline for Respondent to file its answer. Claimant states that the settlement agreement is "the result of arm's-length negotiations between two sophisticated entities, both of whom have been represented by counsel during the settlement process" and that it "reflects the Parties' desire to resolve their issues without the need for costly and uncertain litigation." Motion at 2. Claimant asks that its action be dismissed with prejudice, with each party to bear their own costs. Motion at 3.

A review of the settlement agreement, which is signed by all parties, does not show any indicia of fraud, duress, undue influence, or mistake and appears to reflect an arms-length resolution between the parties. The parties state that they entered into this Agreement because "they are cognizant of the high cost of litigation and the inherent risks involved in litigation, including the risk to a Party that it might not prevail in whole or in part" and wish to resolve their dispute "fully and finally without litigation." Settlement Agreement at 1. The terms appear to be fair, reasonable, and adequate. Accordingly, the parties' settlement agreement is approved and this proceeding is dismissed.

The parties request that their settlement agreement be kept confidential and be protected from public disclosure “due to the recognition that settlement agreements often contain sensitive commercial information.” Settlement Agreement at 2. “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted); *Marine Dynamics v. R.T.M Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991). The parties’ request to keep their settlement agreement terms confidential is reasonable and thus granted.

Upon consideration of the proposed settlement and Claimant’s motion for voluntary dismissal of its Claim, and for the reasons stated above, it is hereby

**ORDERED** that the settlement agreement be **APPROVED**. It is

**FURTHER ORDERED** that the request for confidentiality be **GRANTED**. It is

**FURTHER ORDERED** that this proceeding be **DISMISSED WITH PREJUDICE**.



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Theresa Dike  
Small Claims Officer